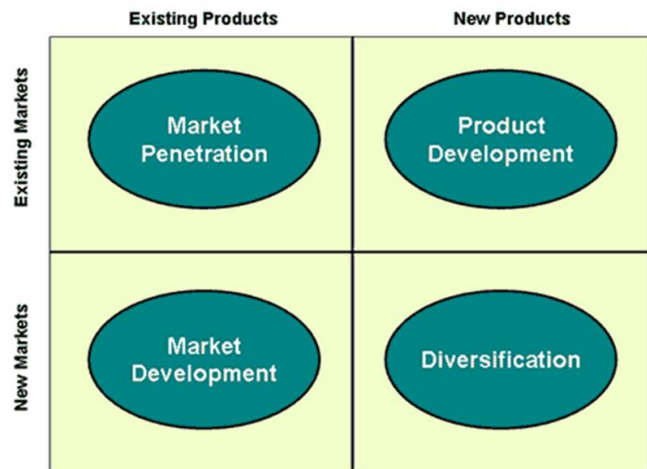


2 - Ansoff Matrix

Flipped learning - Please watch this short video before the start of the lesson



Do Now

amazon

Amazon have used all four growth strategies included in the Ansoff Matrix

Attempt to provide some examples

Market penetration

Product development

Market development

Diversification

Class discussion

Categorise the different growth strategies for Amazon with regard to risk. e.g. which carries the lowest risk?



Learning Outcome

To be able to explain the use of Ansoff's Matrix in developing corporate strategy

To Know



- I can describe the four strategic options within Ansoff's Matrix.
- I can explain the purpose of Ansoff's Matrix in business growth planning.
- I can apply Ansoff's Matrix to real business scenarios.
- I can analyse the risks and benefits of each strategy (market penetration, product development, market development, diversification).
- I can evaluate how businesses choose between strategic options based on their objectives.



I Do, We Do, You Do



Market penetration is the name given to a growth strategy where the business focuses on selling existing products into existing markets.

What are the possible reasons why Carrefour adopt a MARKET PENETRATION growth strategy?

What marketing strategies could be used to ensure that Carrefour achieves MARKET PENETRATION?

What are the potential limitations of Carrefour implementing a MARKET PENETRATION strategy?



Market development is the name given to a growth strategy where the business seeks to sell its existing products into new markets.

Burberry is a British luxury fashion house headquartered in London

Outline how Burberry have pursued a MARKET DEVELOPMENT strategy

What are the possible reasons why Burberry might have pursued a MARKET DEVELOPMENT growth strategy?

What are the potential risks for Burberry when pursuing a MARKET DEVELOPMENT strategy?

SAMSUNG

Product development is the name given to a growth strategy where a business aims to introduce new products into existing markets.

What are the possible reasons why Samsung pursue a PRODUCT DEVELOPMENT growth strategy?

Provide examples of how Samsung have implemented this growth strategy in the last few years

What are the potential disadvantages for Samsung of adopting a PRODUCT DEVELOPEMENT growth strategy?



Diversification is the name given to the growth strategy where a business markets new products in new markets.

What are the possible reasons why Virgin have implemented a DIVERSIFICATION growth strategy?

Outline the potential disadvantages for Virgin of adopting a DIVERSIFICATION growth strategy



Affirmative Checking

Produce a plan



Aldi set to create 5,000 jobs as it opens 80 new stores Budget supermarket Aldi announced today that it is opening 80 new stores across the UK this year as its rising appeal to savvy shoppers shows no signs of slowing down.

They have a mission statement of “Top quality at incredibly low prices - guaranteed.” The German-owned

The store chain has a business model of selling fewer grocery lines and having fewer staff who are well paid and highly productive. Aldi mainly sell own brand goods through having strong links with fewer suppliers and buying in bulk. They have yet to move fully into online retailing (only selling cases of wine through their website) and focus mainly on own brand goods offering value for money.

The directors of Aldi are considering the best way to pursue further organic growth in the UK.

Evaluate these two options and recommend which one is most suitable for Aldi. (20)

The objective the business is attempting to achieve is....	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	One advantage of increasing the number of stores is.... This is because... This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, a disadvantage of increasing the number of stores is... This is because... This will lead to... Therefore... As a result, ...
Paragraph 3 POINT	One advantage of online retailing is....

IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	This is because... This will lead to... Therefore... As a result, ...
Paragraph 4 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, a disadvantage of online retailing is... This is because... This will lead to... Therefore... As a result, ...
Conclusion: <u>4W's</u> Which option? Why? Why reject the other option? What factors does the success of your chosen option depend upon?	Overall, it is recommended that..... (Select what you consider to be the best option to maximise profit) This is because... I have rejected the other option because ... The success of this option will depend on... It is recommended that...